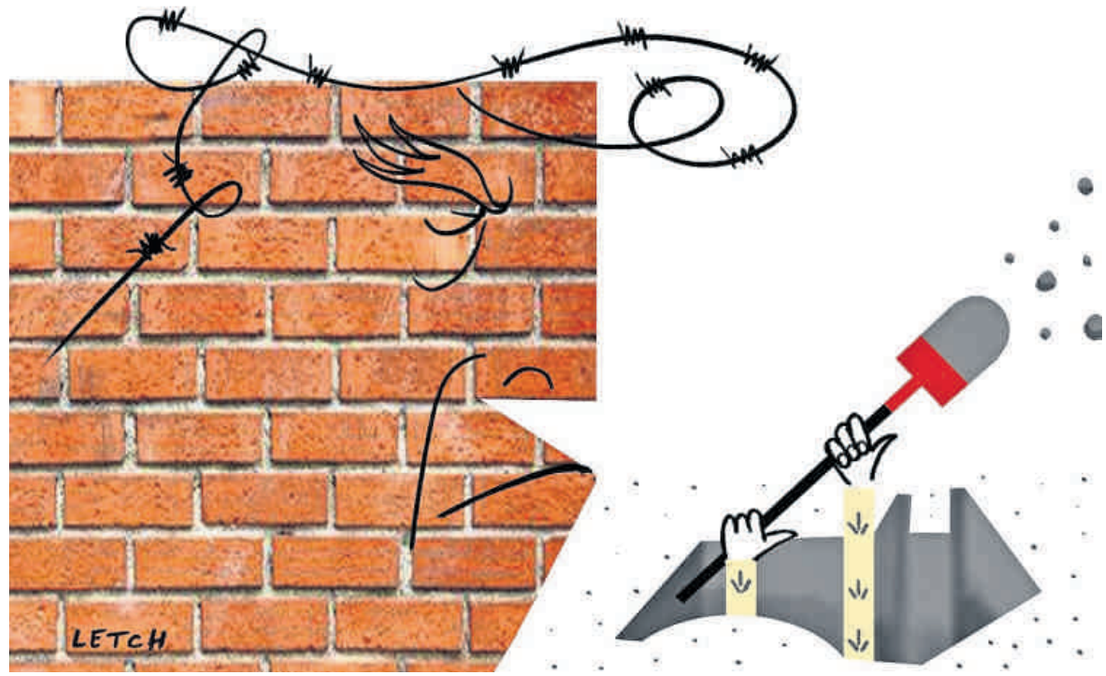
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Trump's tariffs will take a toll

The Republican candidate's plans for a trade war, targeting China in particular, may cause untold damage in Australia.



Matt Wade



"I am a tariff man." That's how then US President Donald Trump described himself in 2018 after he'd slapped tariffs and other trade restrictions on many nations, sparking upheaval on financial markets and casting a shadow over global commerce.

Now "tariff man" has plans for an even bigger trade war should he be re-elected president in November, and that's bad news for a relatively open trading nation like Australia. But there's been scant public attention to the economic implications of a Trump election victory. How ready are we?

One of Trump's headline policies is to impose a new 10 per cent levy on all imports going to the US. China would be singled out with a hefty 60 per cent across-the-board toll.

A tariff is a tax imposed on a good or service as it's imported into a country. Its main purpose is to increase the price of imports in the hope of protecting local producers from foreign competition.

Many countries would respond to Trump's tariff hike with tit-for-tat trade restrictions of their own, just as they did during his last trade war. That would increase the cost of goods and services traded internationally, stoking inflation and putting upward pressure on interest rates. Households and businesses already struggling with a cost-of-living crunch would face higher borrowing costs. And we all know what high borrowing costs mean for countries like Australia, where mega mortgages are now the norm.

ANU economics professor Warwick McKibbin, a globally renowned economic modeller who has analysed the likely effects of Trump's economic plans, says his trade policies would be "devastating" for the world economy. Even if Australia could negotiate a reprieve from the direct 10 per cent tariff mooted by Trump, McKibbin warns we won't be shielded from the global spillover from the inevitable trade conflict.

Trump's main target is China, Australia's biggest trading partner and destination for about 35 per cent of our exports. McKibbin's modelling shows the Chinese economy will "slow down quite a bit" under Trump's economic proposals.

"We rely on an open global economy and anything that we export a lot of – mining, energy agriculture – really gets hurt by the Trump policies," McKibbin says. "It's hard to find anything positive in what he's proposing."

Richard Holden, professor of economics at UNSW, says Trump's trade plans, if implemented, would cause massive disruption in the international trading system.

"Given how important exports are to the Australian economy, that would be a huge problem for us," he said. "I worry that he's going to blow up the trading order that served Australia so well over ... 40 years."

Trump often claims the US is being "ripped off" by trade and sees tariffs as a way to strike back. "You hurt us, and we hurt you," he told a rally earlier this month.

But tariffs hikes and trade wars are not the only economic policies being canvassed by Trump that pose a global threat. Economists are especially worried by his plans to deport millions of undocumented migrant workers. That would slash the supply of labour in the US, pushing up wages and inflation.

> *'It's hard to find anything positive in what he proposes.'*
>
> Warwick McKibbin

"Once you get inflation in the US, it tends to be transmitted globally," says McKibbin.

The independence of the US central bank may also be under threat. Trump has said presidents should have "a say" in how the US Federal Reserve sets interest rates.

"If Trump were to shatter the independence of the Federal Reserve there would be a bad financial market reaction," says Holden. "We know what happens when global financial markets go into a tailspin."

The prospect of Trump having a direct influence on Fed decisions has also stoked fears of higher global inflation. For more than two years central banks across the world, including in Australia, have lifted interest rates in a bid to reduce inflation. But Roland Rajah, lead economist at the Lowy Institute, warns much of Trump's economic agenda "points to more inflation" and more global economic damage.

"A return to Trumpian economic nationalism is not what the world needs," he says. "Unfortunately, the world does not get a vote."

There has been surprisingly little public debate in Australia about the implications of Trump's economic plans, especially his trade policies. "People either don't believe Trump will win or they don't believe he'd be that stupid," says McKibbin. .

Protectionism has been on the rise since Trump's first term; President Joe Biden left most of his predecessor's tariffs in place and has come up with new ones of his own, including a 100 per cent impost on Chinese electric vehicles.

But a re-elected Trump is set to take global trade conflict to a whole new level. The federal government estimates around one in every four Australian jobs is related to overseas trade and the taxes paid by our commodity exporters are a crucial source of public revenue. If Trump does return to the White House, Australians will likely get a painful reminder of just how important trade is to us.

Matt Wade is a senior economics writer at the *Herald*.